SMM HOLDINGS PVT LTD (UNDER THE ADMINISTRATION OF)

AND

THE ADMINISTRATOR AFARASI MTAUSI GWARADZIMBA

(CITED ONLY IN HIS OFFICIAL CAPACITY AS SUCH)

versus

MAXWELL SIZIBA

IN THE HIGH COURT OF ZIMBABWE
NDUNA J
BULAWAYO 17 MARCH & 18 MAY 2026

Summary Judgment – virtual

Ms M Muguti, for the plaintiffs
S Chamunorwa, for the defendant

NDUNA J: The First Applicant, SMM Holdings (Pvt) Ltd, is a company placed under a statutory reconstruction order. The Second Applicant, Afaras Mtausi Gwaradzimba, was cited in these proceedings in his official capacity as administrator of the company. The Respondent, Maxwell Siziba, is a former employee of the First Applicant.

FACTUAL BACKGROUND

During the subsistence of the Respondent's employment with the First Applicant, he was allocated occupational accommodation as an employment benefit, namely House Number 20 School Avenue, Noelvale, Zvishavane. The Respondent's contract of employment was terminated on 22 October 2011. Upon termination, he was required to vacate the premises within ninety days. It is common cause that he remained in occupation beyond that period.

The Respondent contends that at the time of termination, the First Applicant owed him outstanding salary arrears and terminal benefits. In support of this position, he relied on an acknowledgement of salary and wage arrears issued by the First Applicant on 31 December 2013

reflecting an indebtedness in the sum of US$19 273.03 for the period January 2009 to December 2013. The Respondent further alleged that, owing to the company's failure to settle his terminal benefits, an arrangement was reached permitting him to remain in occupation of the premises pending either payment of his outstanding dues or the eventual sale of the property to him by way of set-off. The Applicants disputed the existence of any such agreement.

The Applicants instituted proceedings seeking the Respondent's eviction from the property together with costs of suit.

At the hearing conducted virtually on 17 March 2026, the Respondents raised preliminary points.

On behalf of the Respondent, *Mr. Chamunorwa* raised preliminary objections challenging the competency of the proceedings. The principal contention was that following the publication of General Notice 1007/25 on 16 May 2025, *Mr. Munashe Shava* became the sole administrator of SMM Holdings. It was argued that the application for summary judgment, having been filed several months after Mr. Shava's appointment, lacked lawful authorization because it had neither been instituted nor authorized by the incumbent administrator. Counsel further argued that the founding affidavit deposed to by *Mr. Dhlembeu* relied on a general affidavit of authority issued in November 2020 by *Mr. Gwaradzimba,* which did not constitute proper authority for the institution of summary judgment proceedings in 2025. It was also argued that Mr. *Gwaradzimba,* having himself been cited as a party to the proceedings, had not deposed to any founding affidavit in support of the application.

In response, *Ms. Muguti,* appearing for the Applicants, submitted that the principal action had been instituted before the appointment of *Mr. Shava* and that authority granted by *Mr. Gwaradzimba* prior to the change in administration remained effective. Reliance was placed on section 6 of the Reconstruction of State-Indebted Insolvent Companies Act [Chapter 24:27], it being argued that the subsequent appointment of another administrator did not retrospectively invalidate proceedings already authorized. Counsel further argued that a deponent need only possess knowledge of the facts and that, in reconstruction matters, a board resolution or fresh authority was unnecessary. Reliance was also placed on previous High Court authority in which a general authority affidavit had allegedly been accepted.

In response, *Mr. Chamunorwa* submitted that the Applicants had effectively conceded that Mr. *Shava* was the incumbent administrator and had thereby abandoned any contention that both administrators possessed concurrent authority. Counsel argued further that section 6 of the Reconstruction Act related to proceedings instituted against a reconstructed company and was therefore inapplicable. According to the Respondent, the applicable statutory framework required proceedings on behalf of the company to be instituted under the authority of the incumbent administrator. It was further contended that the application for summary judgment constituted distinct proceedings requiring fresh and valid authorization, which had not been obtained from Mr. Shava. The Respondent accordingly urged the court to dismiss the application on the basis of want of authority and lack of proper authorization.

ISSUE FOR DETERMINATION

Whether the application for summary judgment was properly authorised by the incumbent administrator of the First applicant.

APPLICATION OF THE LAW

The Respondent's preliminary objection relating to authority is well founded. The issue of authority was squarely placed before the court and therefore required proper proof from the Applicants. The law is settled that a juristic person can only litigate through duly authorised representatives and that such authority must be demonstrated where challenged.

In Madzivire & Ors v Zvarivadza & Ors 2006(1) ZLR 514 (S) it was held at 515, (per CHEDA JA) remarked as follows:-

> "A company, being a separate legal person from its directors, cannot be represented in a legal suit by a person who has not been authorised to do so. This is a well established legal principle, which the courts cannot be ignored. It does not depend on the pleadings by either party. The fact that the person is the managing director of the company does not clothe him with the authority to sue on behalf of the company in the absence of any resolution authorising him to do so."

Similarly, in *Dube* v *Premier Service Medical Aid Society & Anor* SC73-19 para 23 , the Supreme Court stated:

> "A person who represents a legal entity, when challenged, must show that he is duly authorised to represent the entity. His mere claim that by virtue of the position he holds in such an entity he is duly authorised to represent the entity is not sufficient. He must produce a resolution of the board of that entity which confirms that the board is indeed aware of the proceedings and that it has given such a person the authority to act in the stead of the entity."

The principle emerging from these authorities is clear. Once authority is challenged, the deponent or litigant acting on behalf of a corporate entity must produce proof of authority specifically authorising the institution or continuation of the proceedings.

In casu, the application for summary judgment was supported by an affidavit deposed to by *Mr. Chirandu Dhlembeu,* who purported to act under an affidavit of authority granted by Mr. *Gwaradzimba* in November 2020. However, it was not disputed that by General Notice 1007/25 published on 16 May 2025, *Munashe Shava* had been appointed administrator of the First Applicant. The Applicants did not meaningfully dispute that appointment. Indeed, counsel for the Applicants effectively conceded that *Mr. Shava* was the incumbent administrator, but argued that authority previously granted by *Mr. Gwaradzimba* remained valid because the main proceedings had already been instituted.

I am unable to agree with that submission. The application presently before the court is an application for summary judgment dated 6 October 2025, several months after the appointment of *Mr. Shava.* Once the incumbent administrator changed, authority to act on behalf of the First Applicant vested in the newly appointed administrator in terms of the governing statute.

Section 6 of the Reconstruction of State-Indebted Insolvent Companies Act [Chapter 24:27] provides that:

> "A reconstruction order shall have the following effect, namely that—
>
> (a) the administrator shall assume the control and management of the company and recover and take possession of all the assets of the company; and
>
> (b) no action or proceeding shall be proceeded with or commenced against the company except by leave of the administrator and subject to such terms as the administrator may impose."

In interpreting statutes, courts are enjoined to give words their ordinary grammatical meaning unless doing so would produce absurdity or conflict with legislative intention. In *Endeavour Foundation & Anor v Commissioner of Taxes 1995 (1) ZLR 339 (S)* at p 356 F-G to 357 A where GUBBAY CJ said:-

> "The general principle of interpretation is that the ordinary, plain, literal meaning of the word or expression, that is as popularly understood, is to be adopted, unless that meaning is at variance with the intention of the legislature as shown by the context, or such other indicia as the court is justified in taking into account, or creates an anomaly or otherwise produces an irrational result."

Applying the ordinary and literal meaning of section 6, it is clear that the powers of control and management of the company vest in "the administrator," namely the incumbent administrator holding office at the relevant time. The section does not preserve authority previously exercised by a former administrator after replacement. Upon appointment, the new administrator assumes control and management of the company and becomes the lawful authority through whom litigation concerning the company must proceed.

Accordingly, once *Mr. Shava* was appointed administrator in May 2025, authority to authorise legal proceedings on behalf of the First Applicant vested in him. Any proceedings instituted or pursued thereafter required his sanction or authority. No such authority was produced before this court rendering the administrator's authority defective.

Therefore the Respondent's preliminary point succeeds. The matter is duly struck of the roll with costs at ordinary scale.

Chigariro Phiri & Partners, applicant's legal practitioners
Calderwood, Bryce Hendrie & Partners, respondent's legal practitioners